- Tax forgone on account of exemptions under *personal income tax* for individual taxpayers was estimated at Rs. 35,698 crore in 2011-12. In this case, the bulk of the revenue foregone was on account of the exemptions given for certain investments and payments under Section 80 C of the Income Tax Act.

In so far as ***indirect taxes*** are concerned, revenue forgone is defined as the difference between duty that would have been payable but for the issue of exemption notification and actual duty paid in terms of the relevant notification. The situation stands as given below:

- The revenue forgone for the financial year 2011-12 in respect of *excise duties* is estimated at Rs. 2,12,167 crore including Rs. 12,880 crore on account of area-based exemptions.
- Duty forgone for the year 2011-12 on account of all the exemption notifications on *customs* was estimated at Rs. 2,76,093 crore.

There is merit in limiting the exemptions or their *grandfathering* [22] on a case-by-case basis so as to realize fuller tax potential through a wider tax base. The *Direct Tax Code 2010* has enough scope to cut such exemptions. Similarly, the on-going indirect tax reforms such as the GST has such provisions.

14TH FINANCE COMMISSION

The Commission was constituted on *January 2, 2013* under the Chairmanship of Dr. Y. V. Reddy, former RBI Governor with Prof. Abhijit Sen, Ms. Sushma Nath, Dr. M. Govinda Rao and Dr. Sudipto Mundle as the other *four* members. The recommendations of the Commission will apply on the period ***2015-20*** and its report has to be submitted by October 31, 2014.

The broad *Terms of Reference* and the *matters* to be taken into consideration by the Commission are:

1. *Tax Devolution* & *Grant* related references
   (i) the distribution between the union and states of the net *proceeds of taxes* which are to be, or may be, divided between